type. Dominant owners developed a whole infrastructure of control including informal, corrupted ties with state functionaries and the suppression of hired labour. Under this term is a set of partially formal, but predominantly informal, relations securing control over assets on the part of dominating groups. External elements of this infrastructure assume corrupted ties with state functionaries, which provide protection of 'property rights'. Internal elements secure control over hired labour, including informal means of coercion.

This control is highly unstable and can always be challenged. Instability of 'property rights' engenders short-term managerial strategies. This, in turn, conditions the main type of income appropriated by Russian capitalists. I call it 'insider rent', by which I mean short-term income, derived from control of the firms' financial flows. The most widespread way of withdrawing funds from Russian firms includes establishing figurehead trade houses registered in offshore sites. The controlled enterprises sell their products to these companies at prices lower than the market level. Later these products are sold at market prices and money is accumulated in the private accounts of the dominant owners. In fact, these are finances withdrawn from investment, wage and salary funds, among other sources. Insider rent is appropriated at the expense of unpaid labour and, thus, constitutes a concrete form of surplus value, peculiar to a Russian type of 'accumulation by dispossession', as argued by David Harvey.

Insider rent extraction leads to a number of intra-firm conflicts between the dominant owners and workers, rank-and-file managers and minority shareholders. To suppress these conflicts and defend their 'rights' against rival business groups, Russian owners had to increase their infrastructures of control. Rent withdrawal and expenditure on infrastructure undermine both the supply of and the demand for investments in productive capacities. From the inferior investment strategies of Russian big business come corporations which often ignore potentially profitable investment projects because of their long payback periods. On the other hand, Russian big business systematically withdraws funds through off-shore sites to save them in the West, another manifestation of its semi-dependent, comprador status. Despite the great expectations raised at the dawn of the market reforms, Russian big business failed to become a vehicle for technical progress and modernisation.

Growing inequality and crippled economic growth

Insider rent extraction as a concrete form of appropriation of surplus value determines not only capital accumulation but all other socio-economic processes as well. First of all, it shapes the distribution of the national income, causing